

crore of AUM as of June 30, according to Value Research. HDFC Small Cap Fund and SBI Small Cap Fund follow with AUMs of over ₹19,000 crore and ₹18,700 crore, respectively. Leading fund houses including Axis Mutual Fund, Kotak Mutual Fund, HSBC Mutual Fund, Canara Robeco Mutual Fund, and ICICI Prudential Mutual Fund offer large small-cap fund schemes with an AUM of more than ₹6,000 crore each, as per data from Value Research. In light of the assets they manage, it is clear that small-cap funds are, in fact, not small.

Even though small-cap funds have the lowest number of schemes (total 24) among the most popular MF schemes in the equities category, they have a cumulative AUM of approximately ₹1.68 lakh crore as of July 30. This makes them the sixth-largest fund category in the

equities segment. Small-cap funds also boast of a huge number of folios, at 12.3 million, almost on par with that of flexi-cap funds (12.8 million), which have the highest AUM of ₹2.73 lakh crore amongst all categories of equity-oriented MF schemes.

Fund houses typically take pride in their large AUM schemes, but the sheer scale of small-cap funds appears to have presented a management difficulty.

“At times there can be a need to shut a fund. It can depend on a few factors like the size of the fund within its category relative to the available liquidity in a segment like small-cap to build relevant positions,” says Ajit Menon, CEO, PGIM India Mutual Fund.

“It can also depend on the liquidity of the existing portfolio relative to the expected flows, es-

pecially outflows. It could also be dependent on valuation. A fund house may feel that the valuations are overstretched to the point where incremental flows, while being accommodated, may not have a good investment experience,” he adds.

It’s a bull market, and small-cap funds are outperforming the rest in terms of returns. In the current calendar year through July 13, small-cap funds have given a category average return of a little more than 15 per cent, higher than that of all other equity-oriented categories, including flexi-cap (9.25 per cent), large-cap (7.82 per cent), mid-cap (12.74 per cent), and multi-cap (11.05 per cent). However, it is frequently argued that past performance does not guarantee future outcomes and that investors in MFs should not base their decisions on the histori-



“Small-cap investing is not a sprint, it is a

marathon... Small-caps, as is widely known, is a comparatively less liquid space and has high impact cost. In that context, the size of the fund does create its own challenges”

SAMIR RACHH
FUND MANAGER-EQUITY,
NIPPON INDIA MUTUAL FUND

THE BIG LEAGUE

Top 5 small-cap MF schemes in terms of AUM

Launch date	Scheme name	1-year*	3-year*	5-year*	AUM**
16/09/2010	Nippon India Small Cap Fund	37.51	46.44	22.01	31,945.15
03/04/2008	HDFC Small Cap Fund - Regular Plan	40.79	42.71	17.10	18,999.05
09/09/2009	SBI Small Cap Fund	25.43	35.60	19.35	18,624.54
29/11/2013	Axis Small Cap Fund - Regular Plan	27.54	36.41	22.22	14,251.72
24/02/2005	Kotak Small Cap Fund - Regular Plan	21.79	41.03	20.08	10,829.68

*RETURNS IN PER CENT AS OF JULY 13, 2023;

**AUM IN ₹ CRORE AS OF JUNE 30, 2023

SOURCE: VALUE RESEARCH